



Cambridge O Level

ECONOMICS

2281/13

Paper 1 Multiple Choice

October/November 2022

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Done!

This document has **12** pages. Any blank pages are indicated.

- 1 The Chinese government is concerned about the level of poverty and the need for more resources in low-income regions of the country. As a result, it is increasing its expenditure in those regions and reducing it in high-income regions.

Which economic concept does this government policy illustrate?

A diseconomies of scale (ATC ↑)

B market forces (D=S)

✓ C opportunity cost

D specialisation

↳ focusing on particular task

Expenditure
low income regions ↑ vs High income regions ↓
'Choice'

- 2 An airline needs people and equipment. These can be divided into factors of production.

What is allocated to its correct factor of production?

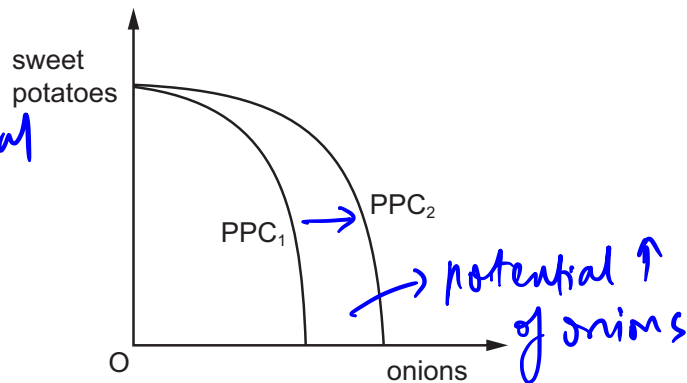
	people or equipment	factor of production
✓ A	aircraft	capital → Man made resource
B	airline owners	labour → Human resource
C	computer network	land → Natural resource
D	pilots	enterprise → Risk taker

Enterprise ↗
labours ↗
Capital ↗

3

- 3 The diagram shows production possibility curves (PPC) for an economy that produces two goods, sweet potatoes and onions. Initially the economy is operating on PPC₁.

* Training and technology increases productive potential of onions.



Which combination of changes could shift PPC₁ to PPC₂?

	change 1	change 2
A	a fuller use of existing resources in onion farms	a reduction in the price of sweet potatoes
B	a reduction in the price of onions	a larger population in the country
C	an increase in the price of sweet potatoes	an increased consumer preference for onions
☒ D	an increase in the training of onion farmers	a greater use of technology on onion farms

No change in output in sweet potatoes

no change in output of sweet potatoes

change in price of onion can't shift PPC.

Potential ↑

Potential ↑

- 4 A government decides to move towards a market economy by selling state-owned enterprises.

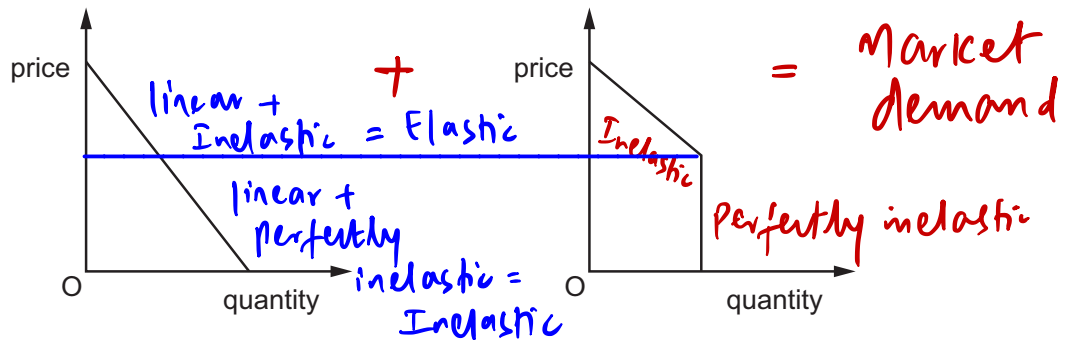
What is a possible motive for this?

- A to create greater income equality inequality ↑ in market economy.
- B to extend government control of the economy control of government ↓
- ☒ C to increase efficiency of production Yes, because less wastage and quick in decision making.
- D to take account of external costs

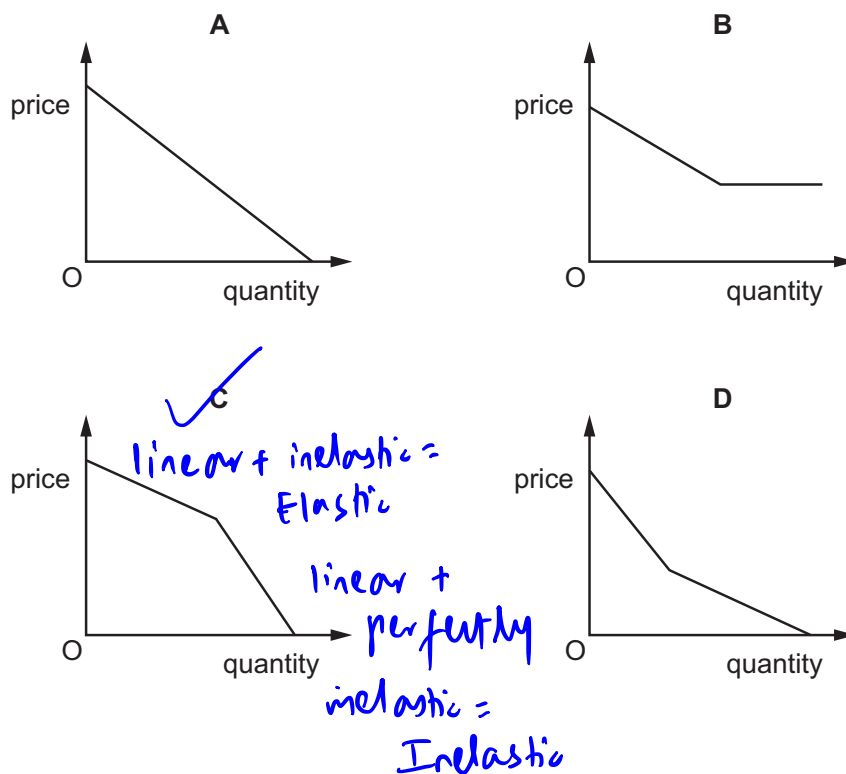
↳ They don't take into account of external cost, as they over produce demerit goods

4

- 5 The diagrams show the demand curves for the only two buyers in a market.



What will be the shape of the market demand curve for the good?

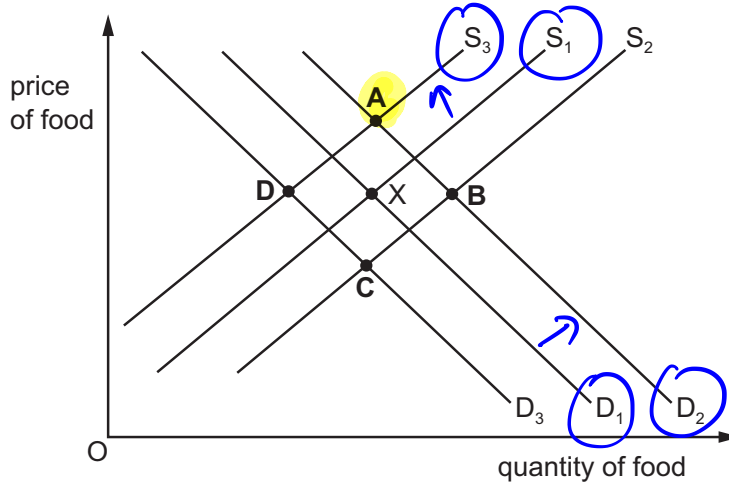


5

- 6 The shoppers in a country become worried about a sudden and dangerous rise in air pollution and so buy more food in case they have to stay at home. As the air pollution spreads, supermarket staff fall ill and the supermarkets struggle to keep their shelves full of food.

X was the initial equilibrium in the market for food in supermarkets.

What will be the new equilibrium as a result of the above situation?



- 7 Which factor can influence the price elasticity of supply of a product?

A the degree of necessity of the product PED

B the level of spare capacity in the industry

C the price of substitutes Demand factor

D the proportion of income spent on the product PED

- 8 What is a possible consequence of market failure?

A Consumers have complete information about goods.

B Disequilibrium continues in the market.

C Merit goods are under-supplied.

D Some goods are no longer demanded.

- 9 Which organisations can directly fund the growth of firms?

	central banks	commercial banks	governments
A	no	yes	no
B	no	yes	yes
C	yes	no	no
D	yes	no	yes

Advantage of coins.

10 Which advantage do coins have that makes them more suitable than paper banknotes to act as money?

A They are more divisible.

B They are more durable.

C They are more portable.

D They are more recognisable.

Advantage of paper bank notes

11 Which statement about different income groups is correct?

A High-income groups do not need to borrow money. *They do*

B High-income groups save less money than low-income groups. *Save more*

C Low-income groups find it easier to borrow than high-income groups. *find it difficult*

D Low-income groups save a smaller percentage of their income than high-income groups.

correct

12 A musician has a choice of playing for an orchestra in either Germany or England.

Which combination of incomes and cost of living is **most** likely to cause her to choose the German orchestra?

	incomes and cost of living in Germany compared with those in England		
	pre-tax (gross) income	after-tax (net) income	cost of living
A	higher	higher	higher
B	higher	lower	lower
C	lower ✓	higher	higher
D	lower ✓	higher	lower

lower, means cheaper to live.

higher disposable income

13 A trade union states that its members have experienced a loss in real income over the past five years.

What must have happened for this to be true?

A Income tax rates have increased.

B Prices have risen.

C Savings have fallen.

D Wages adjusted for inflation have fallen.

inflation rate ↑

Real income = Nominal income - Inflation

This represents real wage ↓
affects disposable income

Real wage % = Nominal wage % - Inflation %

- 14 A firm provides a personal service to its customers. It prefers to remain labour-intensive rather than changing to more capital-intensive production.

Which aspect of remaining labour-intensive would support this choice?

- ✓ A Customer satisfaction is higher. → This associated with personal service
 B Production costs are higher.] This will result in move towards
 C Production is less flexible. capital intensive, to make process flexible.
 D Quality of customer service is worse. → If its worse, then capital intensive ↑

- 15 Why might one profitable oil-drilling firm wish to take over another profitable oil-drilling firm?

- A to bring its suppliers into the same firm → Vertical backward required.
 B to get closer to its customers to increase sales → Vertical integration forward required
 ✓ C to reduce its costs per unit of output → Will operate on large scale, ATC ↓
 D to reduce the amount of corporation tax it paid → No information
 ↳ Also when firms grow, profits ↑, so do tax
 16 A government decides to boost the economy through the use of a budget deficit. < G ↑ Tax revenue ↓

Which target should it adopt to achieve this aim?

- A Direct taxation should exceed indirect taxation. Tax revenue ↑, Budget surplus
 B Export earnings should exceed import expenditure. Related to Balance of trade surplus
 C Government savings should exceed government investment. Unrelated.
 ✓ D Government spending should exceed government revenue. Budget-deficit
 Tax and G

- 17 A government decides to use a fiscal policy measure.

What is an example of this?

- A increasing the exchange rate Monetary policy
 B reducing the power of trade unions Supply side
 ✓ C reducing the rate of corporation tax → fiscal policy
 D setting a low interest rate Monetary

- 18 What would the government reduce to decrease inflation?

- A income tax ↓, C ↑, AD ↑, P ↑
 B its foreign exchange rate ↓, Depreciation, X prices ↓, M prices ↑, BOT surplus, AD ↑, P ↑
 ✓ C the money supply ↓, R ↑, C ↓, I ↓, AD ↓
 D the rate of interest ↓, C ↑, I ↑, AD ↑.

19 A country wishes to encourage economic growth.

Which policy measure is **most** likely to achieve this aim?

- A increasing interest rates $\uparrow$, CL , IS , $AD \downarrow$, output $\downarrow$
- ☒ B increasing spending on education, productive potential $\uparrow$, economic growth
- C reducing the maximum permitted hours of work, lower output
- D reducing spending on infrastructure, cost $\uparrow$, output $\downarrow$

20 How does a country usually measure its Gross Domestic Product? Total income / Total output

- ☒ A by calculating the total value of all goods and services produced within the economy
- B by measuring the average prices of a basket of goods and services throughout the country Inflation
- C by subtracting government expenditure from government revenue Budget
- D by surveying the number of people who are out of work but willing and able to work Unemployment

21 What is the **most** likely consequence of increased unemployment?

- A higher output Unemployment $\uparrow$, Income $\downarrow$, $AD \downarrow$, output $\downarrow$
- ☒ B higher government budget deficit Unemployment $\uparrow$, unemployment benefits $\uparrow$, Budget deficit $\uparrow$
- C higher self-esteem lower
- D higher inflation lower, Unemployment $\uparrow$, CL , $AD \downarrow$, Price $\downarrow$
fall in price

22 Why is deflation undesirable for an economy? → High unemployment
lower spending
pessimistic

- ☒ A It reduces business confidence. $CL \downarrow$
 - B It reduces export competitiveness.
 - C It reduces purchasing power.
 - D It reduces real incomes.
- It increases $\rightarrow$ exports competitiveness
purchasing power
real income

23 Why does a government provide public goods? → free rider problem

- A Public goods are always used by everyone. NO
- ☒ B Public goods are not profitable for private firms. → Yes, non-rival and non-excludable
- C Public goods can only be provided by monopolies.
- D Public goods create large external costs.

No,
only by
government

No External cost is created
from demerit goods

- 24 The table shows the percentage changes in earnings and consumer prices for four countries in one year.

Nominal income - Inflation

Which country is likely to have experienced the greatest increase in real income during the year?

	country	earnings	consumer prices		<i>Real</i>
A	France	+6.5	- +3.5	=	+3
B	Germany	+4.0	- +4.0	=	0
C	Japan	+4.0	- -1.0	=	+5
☒ D	UK	+6.5	- -2.0	=	+8.5 (Highest)

- 25 Which combination of government actions is most likely to raise the living standards of lower income groups in an economy?

	<i>reduce</i> indirect tax	<i>increase</i> spending on healthcare	personal tax-free allowance
A	increase	increase ✓	decrease
B	increase	decrease	increase ✓
C	reduce ✓	increase ✓	decrease
☒ D	reduce ✓	increase ✓	increase ✓

Certain level of income = No tax

- 26 What is the usual effect of net immigration for a high-income country?

- ☒ A an increase in the size of the labour force *potential ↑*
☐ B a rise in the average age of the population *not necessarily*
☐ C lower economic growth *→ Higher, as potential ↑*
☐ D reduced demand for housing

Higher demand for housing will rise as more people are coming in

- 27 The table shows some details from a country's balance of payments. The country has no secondary income (current transfers).

item	\$ million
exports of goods	280
imports of goods	(350)
exports of services	110
imports of services	(60)
net primary income	-40

'-ve', means deficit

What is the country's balance on its current account?

-60

- ✓ **A** a deficit of \$60 million
B a deficit of \$160 million
C a surplus of \$20 million
D a surplus of \$760 million

outflows ← service

- 28 Vietnamese companies buy insurance from companies in the US.

How will this transaction be recorded in the Vietnamese balance of payments?

	section	credit / debit
A	trade in goods	credit
B	trade in services ✓	credit
✓ C	trade in services ✓	debit ✓
D	current transfers	debit ✓

- 29 Country X produces cars and also imports cars.

Which group is least likely to benefit from the introduction of an import tariff on cars?

- ✓ **A** consumers of cars in country X
B producers of cars in country X
C the government of country X
D workers making cars in country X

→ benefit more as switch of demand from import to domestic

→ Tax revenue from tariff

choices will be restricted

→ Demand ↑
 Demand ↓

*Disadvantage to
home country.*

30 What may be a cost to its home country when a multinational company (MNC) expands abroad?

- A Increased competition from the MNC may force firms in the host country to close. *affects host country*
- B Many jobs created by the MNC may be low-skilled. *affects host country*
- C The MNC's profits from the host country may be sent to its home country. *Benefit to home country*
- ☒ D The MNC may cause job losses in its home country by moving production abroad.

Question	Answer	Marks
1	C	1
2	A	1
3	D	1
4	C	1
5	C	1
6	A	1
7	B	1
8	C	1
9	B	1
10	B	1
11	D	1
12	D	1
13	D	1
14	A	1
15	C	1
16	D	1
17	C	1
18	C	1
19	B	1
20	A	1
21	B	1
22	A	1
23	B	1
24	D	1
25	D	1
26	A	1
27	A	1
28	C	1

Question	Answer	Marks
29	A	1
30	D	1